

Myths

1. Money does not buy happiness
2. Every old person is a wise person
3. Market will always go up
4. We can time the market.

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3. Do not give loan to friends etc (you can do charity)
4. Sending money to family under emotional pressure
5. Not following the 3 Bucket Rule
6. Running only after Neha/Rahul before career
7. Running after status when we don't have any
8. Over spending on marriage, I'll tell you what mattered for me
9. Address & Location
10. Only take advice from people who have achieved your goals & are 5 to 10+ years ahead of you (not older)
11. House : a necessity for marriage ?
12. FOMO is a good investors enemy 
13. Never take loan, why?
14. Tsunami events : insurance
15. Never share your income with friends & relatives
16. Invest in Dress & Address if doing B2B
17. Read Financial newspapers, Warren Buffett & Charlie Munger 

23. Before buying a house, you should check at least 50 projects (1 year)
24. Don't invest in Construction properties, invest in ready to move.
25. Don't buy a land which is not under your chest.
26. Knowing what we don't understand.
26. Don't copy the HNI's & UHNI's.

Eg: 50 K/month  40l

5 lakh/month

50 lakh/month

1 Cr/month

27. Avoid illegal tax evasion. Technology is rising.
28. Physical money transactions have more friction.

Don't compete with UHNIs & HNIs in spending

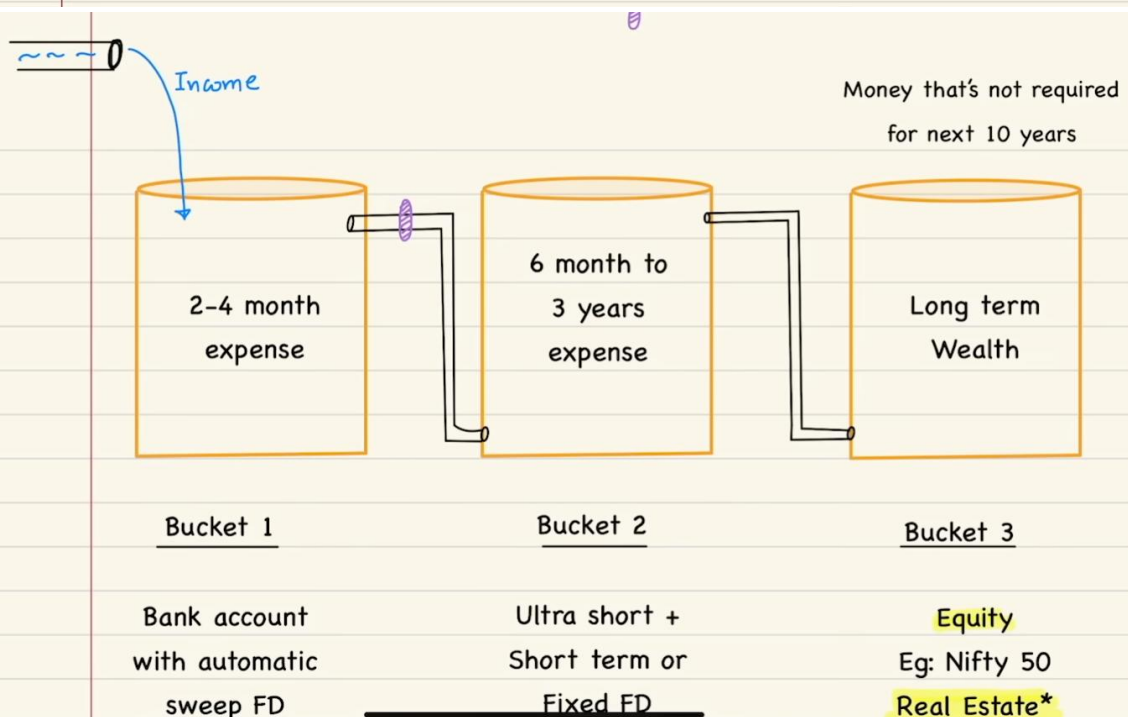
- most are living easily on interest of interest
- even on 10% interest they earn 25Cr interest each year
- 10% of 25Cr is 2.5Cr their annual expense & someone's life savings
- & additionally they also have active income

For Big Expenses like marriage, car coming in 3-5 years we can use bucket 2 or we can take help of other instruments i.e Equity + Debt (or hybrid funds)

Remember : Best investment is YOU!

* Major Do's & Don't

1. Get a **term insurance** if people are dependent on you.
2. Get a **health insurance** for yourself & your parents.
3. **No** to F&O trading & fast money schemes



What can destroy your GOAL of reaching FI?



Friends status

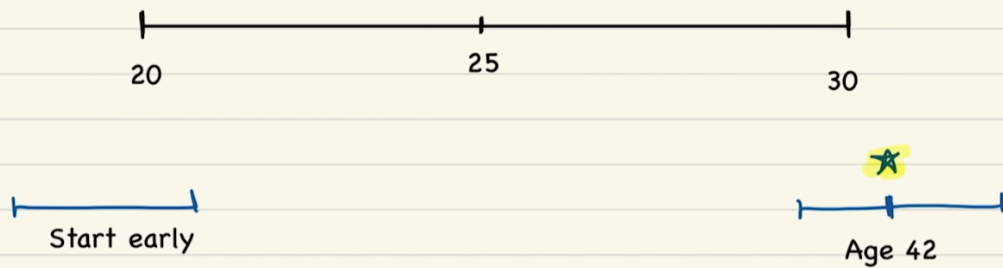
Poor

- Sending money to family under emotional pressure
- Running after materialistic status instead of building FI
- Giving money to your friends & relatives (destroys relationships), only give it as charity in case of medical emergency.
- Invest on Dress & Address if your work is B2B.
- Be prepared for Tsunami events : insurance
- Use the 3 Bucket system

What can destroy your GOAL of reaching FI?



Starting earning Early : the unseen advantage



- more risk taking ability
- more time to learn from mistakes
- head start in career & promotions

People can have additional milestones eg FI : 1.2 Crores (for 20's)
FI-1, \$1 Million (for 30's)
FI-2, xyz amount

What can speed up reaching FI ?



RAHUL : Bachelor expense : 20K/month
Family of 3-4 expense : 1 lakh/month
Annual family expense : 12 lakh/month
10 year family expense : 1.2 Crores
Adjusted to inflation : 2.4 Crores required by Rahul

Note : this is not FIRE number, this FI helps you to take growth risk i.e switch to business etc.

FI = how much ? It depends on you, if working in private sector it could be 1Crore+ (10 years of family expense)



What is our Financial goal in our 20's ?

- i) It is FI - Financial Independence
FI, FI-1, FI-2
- ii) Earn money so that we can take care of ourselves & family.
- iii) Winners don't retire early
- iv) Marriage expense, Children, parents health

Financial RoadMap for 20's

Note : Don't trust media & brokers, check their sponsor

Personal finance is more about 'Personal' & less about finance.

Eg : Bureaucrat : cash → RE , salaried : white → Flat, Equity

Note : Take advice from people who have achieved your GOAL & are 5 to 10 years ahead of you.